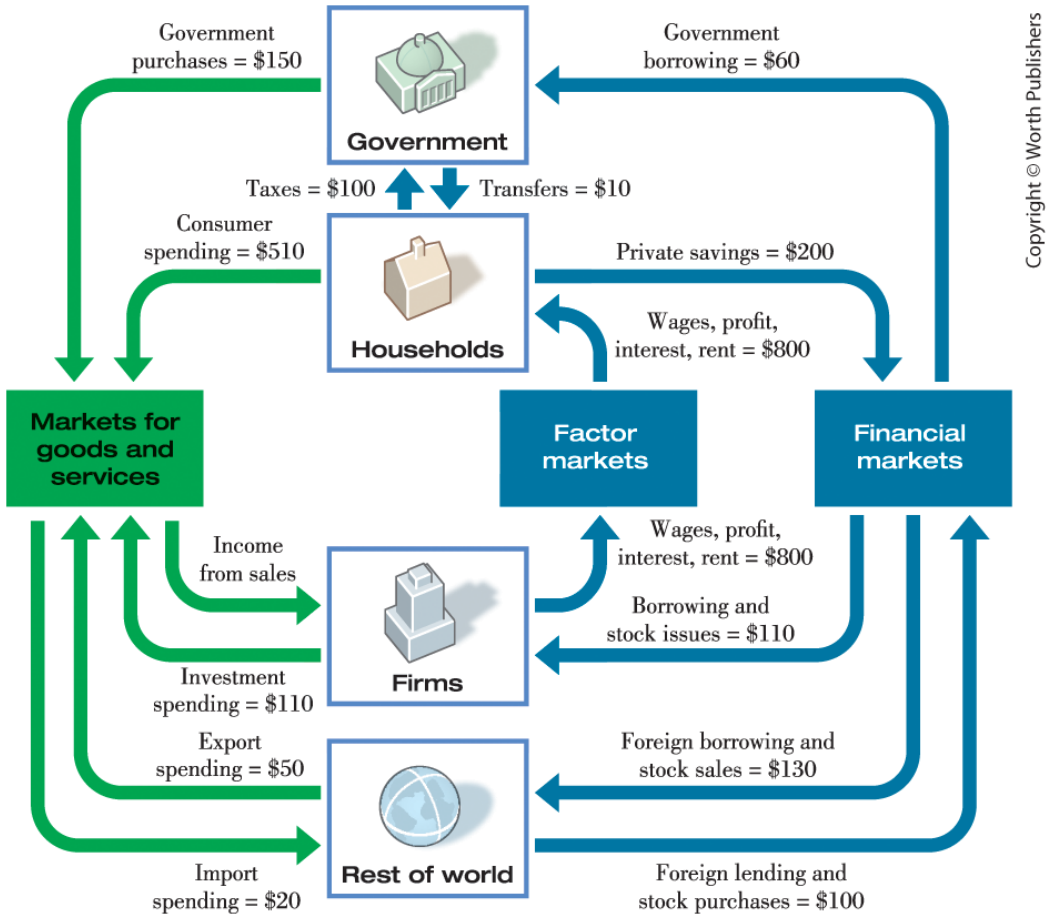
Chapter 7 Practice Questions

Practice Question 2

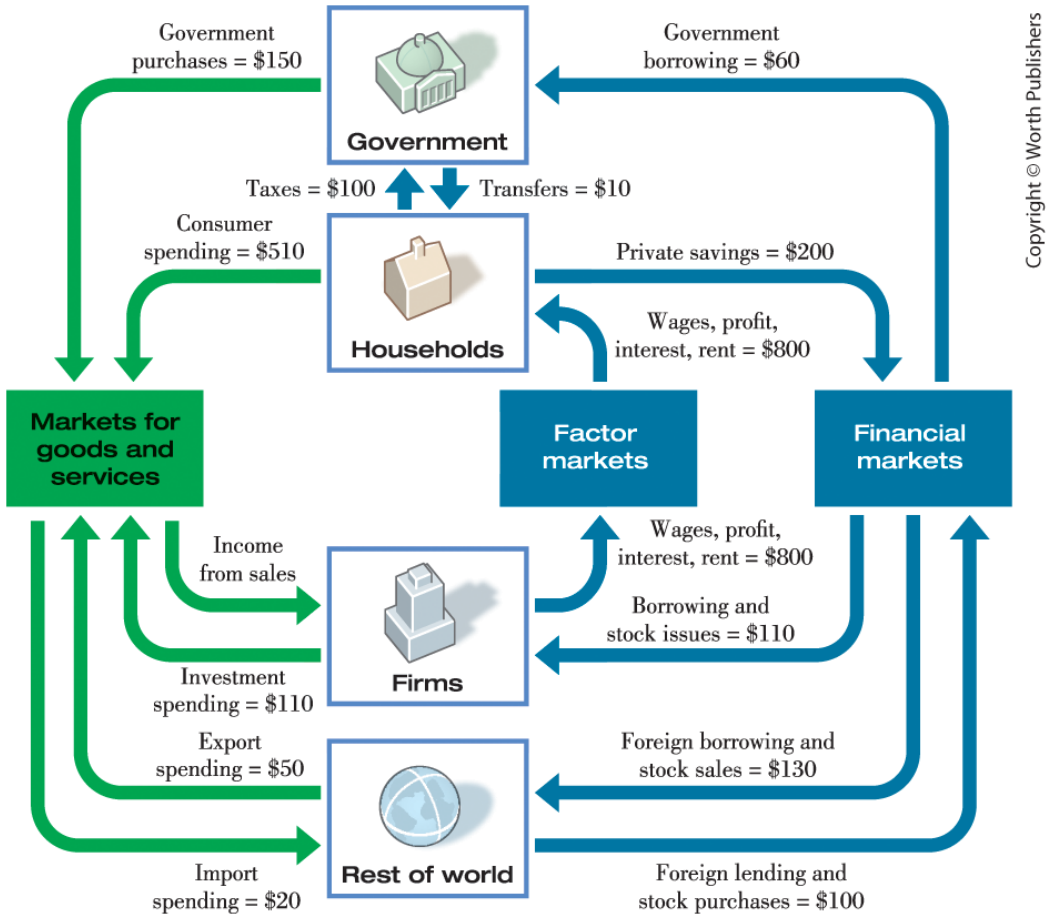


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Calculate Next export

a. 30
b. -30
c. 50
d. 70

Practice Question 3

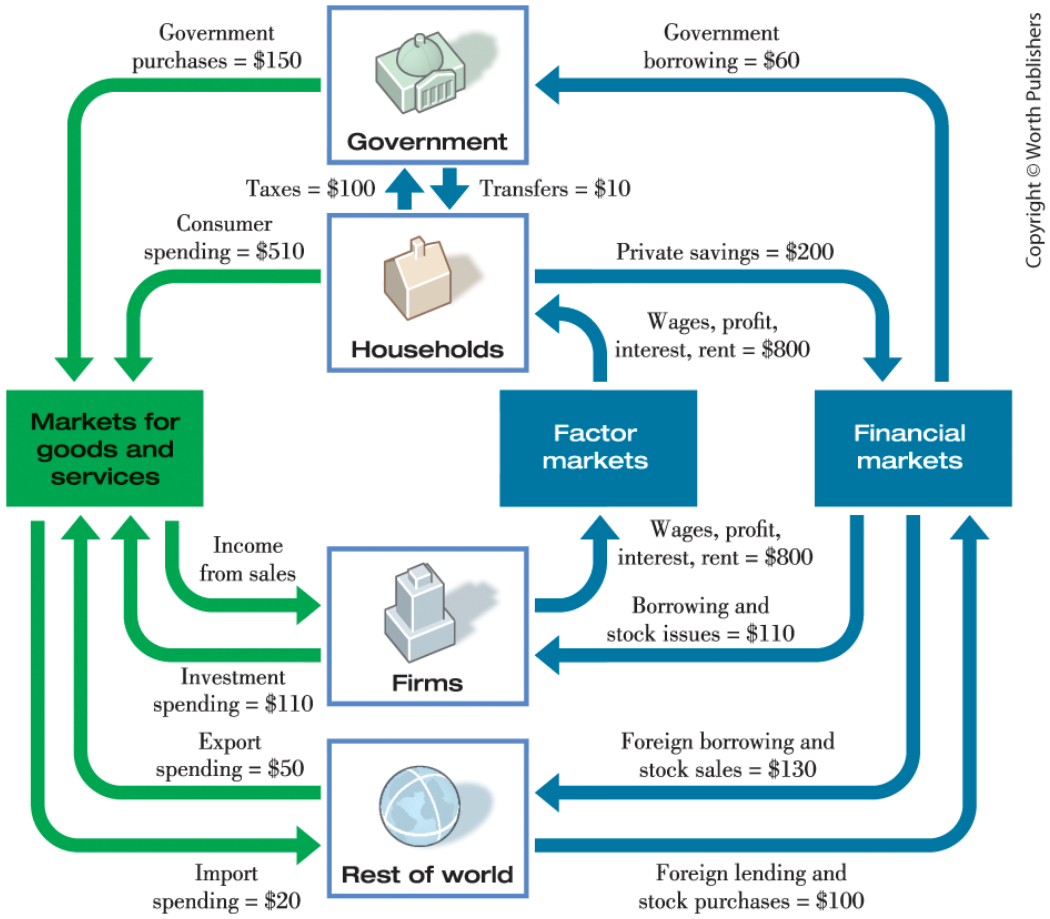


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Calculate Disposable Income

a. 800
b. 510
c. 710
d. 700

Practice Question 4



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Calculate GDP

a. 800
b. 1000
c. 900
d. 890

Practice Question 5

Which of the following is included in Canada's GDP?

A) Purchase of a used car from a friend

B) Construction of a new apartment building in Vancouver

C) Sale of corporate stocks and bonds

D) A Canadian buying an Italian-made espresso machine

Practice Question 6

Which of the following is NOT included in Canada's GDP?

A) Production of wheat in Saskatchewan

B) Purchase of a new machine by a Toronto factory

C) Volunteer work at a local food bank

D) Increase in business inventories

Practice Question 7

	Nominal GDP (billions of current dollars)	Real GDP (billions of chained dollars)
2020	$1,805.0	$1,900.0
2021	1,911.0	1,960.0
2022	2,040.0	2,040.0
2023	2,168.4	2,085.0

Nominal versus Real GDP, 2020 to 2023

Which year is the base year?

a. 2020
b. 2021
c. 2022
d. 2023

Practice Question 8

	Nominal GDP (billions of current dollars)	Real GDP (billions of chained dollars)
2020	$1,805.0	$1,900.0
2021	1,911.0	1,960.0
2022	2,040.0	2,040.0
2023	2,168.4	2,085.0

Nominal versus Real GDP, 2020 to 2023

Were prices in 2020 higher or lower than in 2022?

a. Higher
b. Lower
c. The same
d. Cannot be determined from the table

Practice Question 9

	Nominal GDP (billions of current dollars)	Real GDP (billions of chained dollars)
2020	$1,805.0	$1,900.0
2021	1,911.0	1,960.0
2022	2,040.0	2,040.0
2023	2,168.4	2,085.0

Nominal versus Real GDP, 2020 to 2023

What is the GDP deflator for 2021?

a. 95.0
b. 97.5
c. 100.0
d. 102.6

Practice Question 10

	Nominal GDP (billions of current dollars)	Real GDP (billions of chained dollars)
2020	$1,805.0	$1,900.0
2021	1,911.0	1,960.0
2022	2,040.0	2,040.0
2023	2,168.4	2,085.0

Nominal versus Real GDP, 2020 to 2023

What was the inflation rate in 2023?

a. 2.2%
b. 4.0%
c. 6.3%
d. 104.0%